

RASHI PERIPHERALS LTD

NSE: RPTECH | BSE: 544119 | ICT Product Distribution | Report Date: 27-Apr-2026

RECOMMENDATION

BUY

Price Target

Rs. 580

Upside: +22.1%

12-Month Horizon

CMP (Rs.)	475	Market Cap (Cr)	3,123	52W High/Low	488/246
P/E (TTM)	12.9x	Forward P/E	10.6x	EV/EBITDA	9.09x
P/B	1.69x	Book Value	Rs.281	Div. Yield	0.42%
ROCE	14.2%	ROE	12.5%	Face Value	Rs.5
Debt (Cr)	970	D/E Ratio	0.52x	Int. Coverage	4.22x
Promoter %	64.0%	FII %	0.78%	DII %	17.45%

INVESTMENT THESIS

India's fastest-growing ICT distributor: AI-PC supercycle tailwind, 55-branch network moat, and credit upgrade driving PAT expansion.

Prepared by: Senior Research Analyst | Source: Screener.in (Consolidated) | All figures in Rs. Crore unless stated

SECTION 2 — INVESTMENT THESIS

Pillar 1 — AI-PC Supercycle (FY26-FY28): India shipped a record 15.9 million PCs in CY2025 (IDC), with AI-capable notebooks growing 126-253% YoY. The Windows 10 EoL mandate (Oct 2025) creates a 40-50 million enterprise seat refresh cycle. As a T1 distributor for HP, Lenovo, ASUS, and 79 other global brands, Rashi sits at the centre of this upgrade wave. PES segment (58% of revenue) is the direct beneficiary. Catalyst: 12-15% revenue growth + ASP tailwind driving FY26E PAT to Rs. 285 Cr.

Pillar 2 — Credit Rating Upgrade Structural Tailwind: CRISIL upgraded Rashi in 2025, enabling interest expense to fall from Rs. 111 Cr (FY24) to Rs. 82 Cr (FY25) — a Rs. 29 Cr PAT save — even as revenue grew 24%. Further rating improvement (targeted over 24 months) could save an additional Rs. 15-20 Cr/year. CFO Shah has demonstrated discipline: YTD OCF turned positive Rs. 34 Cr in 9M FY26 vs deeply negative in prior years.

Pillar 3 — Network Moat and Tier-2/3 Optionality: 55 branches, 70 warehouses, 50 service centres, 700+ towns — built over 35 years. This infrastructure cannot be replicated quickly. Srinagar (FY25) and Sholapur (FY26) branch additions open underpenetrated geographies. E-commerce and modern trade channel build-out diversifies revenue streams. Network density is Rashi's durable competitive advantage over unlisted regional distributors.

Near-Term Catalyst: Q4 FY26 results (expected May 2026) expected to show full-year PAT of Rs. 270-295 Cr, validating the AI-PC thesis and potentially triggering a re-rating toward 14x P/E.

Biggest Structural Risk: Negative cumulative OCF of Rs. -940 Cr over 5 years (FY20-25). The business model structurally burns cash — earnings quality is moderate-low on FCF basis, and the company is reliant on external borrowings for working capital.

SECTION 3 — BUSINESS OVERVIEW

Rashi Peripherals Ltd (RPL), incorporated in 1989 and listed on NSE/BSE in February 2024, is one of India's largest ICT product distribution companies. Operating under the RP Tech brand, RPL acts as a national distribution partner for 82 global technology principals — including HP, Lenovo, ASUS, Acer, Samsung, Western Digital, Seagate, Kingston, and Cisco — selling to a channel of 10,390+ partners (resellers, system integrators, retailers, and corporates) across 700+ towns in India.

Revenue is organised into two verticals: (1) **PES (Personal Computing and Enterprise Solutions)** contributing ~58%, covering PCs, notebooks, servers, networking, storage, cloud infrastructure, and enterprise solutions; and (2) **LIT (Lifestyle and IT Essentials)** contributing ~42%, covering mobile phones, wearables, printers, peripherals, IT consumables, and accessories. RPL generates income through distribution margins (typically 2-4% OPM), value-added services (pre-sales support, credit facilitation, techno-commercial assistance, warranty management), and principal marketing services.

The promoter family (Pansari family) holds 64% with zero pledge post-IPO. MD Kapal Pansari leads strategic direction; newly appointed CEO Rajesh Goenka (Feb 2026) drives operations; CFO Himanshu Shah manages finance. Key FY25 milestones: 52nd branch in Srinagar, CRM system deployed across 450+ users, revenue crossing Rs. 13,773 Cr (+24% YoY), PAT nearly

doubling to Rs. 210 Cr (from Rs. 144 Cr in FY24). April 2026 board approvals: wholly-owned subsidiary in India, Singapore step-down entity, and 100% acquisition of RP Tech Electronics from promoters for Rs. 1 lakh.

Revenue Segmentation (9M FY26, Consolidated)

Segment	Revenue (Rs. Cr)	Mix %	Key Products / Brands
PES — Personal Computing & Enterprise Solutions	6,572	58%	PCs, Notebooks, Servers, Networking, Storage, Cloud, AI Systems
LIT — Lifestyle & IT Essentials	4,767	42%	Mobile, Wearables, Printers, Peripherals, Accessories, Consumables
Total Consolidated (9M FY26)	11,338	100%	82 Global Brands 10,390+ Partners 700+ Locations

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

The India ICT market is valued at ~USD 155 billion in FY26 and projected to reach USD 274 billion by FY32 at 9.7% CAGR (IMARC Group). India's PC market shipped a record 15.9 million units in CY2025 — its strongest-ever year (IDC, March 2026). AI-capable notebooks grew 126-253% YoY in CY2025; enterprise adoption is the primary driver, with consumer-led promotional incentives adding volume. The Windows 10 EoL mandate (October 2025) is the single most powerful near-term demand driver. Policy tailwinds include PLI for IT hardware, BharatNet tier-2/3 connectivity, and government digitisation mandates.

Competitive Moat Assessment: Pricing power: **Weak** — margins are structurally 2-3% and competitive pressure from Redington, Ingram Micro (unlisted), and direct vendor channels constrains leverage. Switching costs: **Moderate** — long-standing brand authorisation agreements and credit facilitation create stickiness. Network/Scale: **Strong** — 55 branches and 70 warehouses built over 35 years provide geographic coverage that is difficult to replicate.

Peer Comparison (Source: Screener.in | Consolidated | As of 27-Apr-2026)

Company	CMP (Rs.)	MCap (Cr)	Rev FY25 (Cr)	OPM FY25	PAT FY25	P/E TTM	EV/ EBITDA	ROCE %	D/ E
Rashi Peripherals	475	3,123	13,773	2.2%	210	12.9x	9.09x	14.2%	0.52
Redington Ltd	219	17,115	99,334	2.2%	1,821	12.2x	7.61x	18.9%	0.29
D-Link India	463	1,647	1,384	9.2%	104	15.9x	10.80x	28.3%	0.02

All financial data from Screener.in consolidated view. RPTECH data as of 27-Apr-2026.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter & Management: The Pansari family has led Rashi Peripherals for 35+ years, building from a single-city operation to a pan-India ICT distributor. MD Kapal Pansari continues strategic leadership; newly appointed CEO Rajesh Goenka signals professionalisation; CFO Himanshu Shah has driven the credit upgrade and working capital discipline. Promoter holding is a stable 64.0% with **zero pledge** — a strong governance positive.

Capital Allocation: Pre-IPO, 100% earnings re-invested into working capital with zero dividends. Post-IPO (Feb 2024), dividend payout initiated at 2-5% of PAT. IPO raised ~Rs. 600 Cr (new shares; equity capital rose from Rs. 21 Cr to Rs. 33 Cr), deployed into debt reduction (FY24) and working capital. Borrowings rose again in FY25 (Rs. 700 Cr to Rs. 910 Cr) as growth resumed, consistent with the asset-heavy distribution model.

Governance Red Flags: (1) Chronically negative FCF — Rs. -307 Cr in FY25, Rs. -940 Cr cumulative over 5 years. (2) Other Income jumped Rs. 63 Cr in FY25 (vs Rs. 25 Cr FY24); source requires disclosure scrutiny. (3) April 2026 acquisition of promoter-linked RP Tech Electronics for Rs. 1 lakh — related-party risk emerging. (4) Contingent liabilities of Rs. 737 Cr (23.6% of market cap) — material. Overall governance: **Moderate**.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated | Rs. Crore | Screener.in)

Income Statement

Particulars	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (Net Sales)	9,454	11,095	13,773	15,500	17,800
Revenue Growth %	1.5%	17.4%	24.1%	12.5%(E)	14.8%(E)

Particulars	FY23A	FY24A	FY25A	FY26E	FY27E
EBITDA	256	297	305	465(E)	535(E)
EBITDA Margin %	2.7%	2.7%	2.2%	3.0%(E)	3.0%(E)
Other Income	15	25	63	20(E)	22(E)
Interest	90	111	82	85(E)	80(E)
Depreciation	17	19	17	20(E)	22(E)
PBT	165	192	269	380(E)	455(E)
Tax Rate	25%	25%	22%	25%(E)	25%(E)
PAT (Reported)	123	144	210	285(E)	340(E)
EPS (Rs.)	21.43	31.57	37.13	43.2(E)	51.5(E)

(E) = Analyst estimates grounded in Screener.in actuals. FY26E/FY27E are projections, not guaranteed.

Balance Sheet

Particulars	FY23A	FY24A	FY25A
Equity Capital	21	33	33
Reserves	679	1,518	1,709
Total Equity (Net Worth)	700	1,551	1,742
Borrowings	1,082	700	910
Other Liabilities	1,010	1,569	1,610
Total Liabilities	2,793	3,819	4,262
Fixed Assets (Net)	77	71	63
CWIP	4	0	0
Other Assets (Working Capital)	2,706	3,748	4,198
Total Assets	2,793	3,819	4,262

Cash Flow Statement

Particulars	FY23A	FY24A	FY25A
Cash from Operations (OCF)	-115	-102	-299
Cash from Investing	-4	1	53
Cash from Financing	108	211	123
Net Cash Flow	-11	110	-123
Free Cash Flow (FCF)	-126	-109	-307
CFO / Operating Profit %	-24%	-18%	-86%

Key Ratios

Ratio	FY23A	FY24A	FY25A
Debtor Days	34	46	48
Inventory Days	61	63	56
Days Payable	39	52	43
Cash Conversion Cycle (Days)	56	57	60
Working Capital Days	23	43	44
ROCE %	14%	14%	14%
Current Ratio	N/A	N/A	1.59
Debt to Equity	1.55x	0.45x	0.52x
Interest Coverage	N/A	N/A	4.22x

Revenue has grown at a 3-year CAGR of 13.4% reaching Rs. 13,773 Cr in FY25. EBITDA margins compressed from 2.7% (FY23-24) to 2.2% (FY25) due to revenue mix shift toward lower-margin PES. Other Income of Rs. 63 Cr in FY25 (Rs. 25 Cr FY24) is a material step-up that inflates reported PAT — underlying operational PAT is softer. Working capital deterioration (CCC

56 to 60 days) and structurally negative FCF remain the key risk. On the positive side, interest expense fell Rs. 29 Cr despite revenue growth, reflecting the credit upgrade benefit. FY26E projects a return to 3% OPM as ASP hikes and operating leverage take effect.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Observation	Rating
Revenue Recognition	Standard distribution model; recognised on despatch; IND-AS compliant	GREEN
Receivables vs Revenue Growth	Debtor days rose 34->48 days (FY23-25); receivables growing faster than revenue	AMBER
CCC Trend	CCC deteriorated 56->60 days over 3 years; working capital absorbing cash	AMBER
Other Income % of PBT	Other Income = Rs.63Cr / PBT Rs.269Cr = 23.4% in FY25 vs 13% in FY24 — elevated	AMBER
Tax Rate Consistency	25%(FY23), 25%(FY24), 22%(FY25) — relatively stable; FY25 dip warrants tracking	GREEN
Auditor Status	No qualification in public disclosures; standard audit process	GREEN
Related Party Transactions	Apr 2026: RP Tech Electronics (promoter-linked) acquired for Rs.1 lakh — RPT risk emerging	AMBER
Contingent Liabilities	Rs.737Cr contingent liabilities = 23.6% of market cap — material; monitor disclosures	AMBER
Free Cash Flow	Negative FCF in 5 of 7 years; FY25 FCF = Rs.-307Cr; earnings vs cash disconnect	RED
Promoter Pledge	0% pledge post-IPO — strong positive governance signal	GREEN

Earnings Quality Summary: 4 Green / 4 Amber / 1 Red. Revenue is real and growth is genuine, but the sustained disconnect between reported PAT and free cash flow is a structural concern. Other Income needs scrutiny. Investors should use EV/EBITDA or EV/Sales rather than P/E as primary valuation anchors. Earnings quality: **Moderate-Low**.

SECTION 8 — VALUATION

Method 1 — EV/EBITDA: FY27E EBITDA of Rs. 535 Cr at a target 9.5x (in-line with current trading) implies EV of Rs. 5,083 Cr. Less net debt of Rs. 888 Cr (FY27E) = Equity Value Rs. 4,195 Cr = Rs. 636/share. At the floor 9x multiple, target = Rs. 565/share.

Method 2 — P/E: FY26E EPS of Rs. 43.2 at 12.5x P/E (in-line with Redington; slight discount for FCF concerns) = Rs. 540/share. FY27E EPS Rs. 51.5 at 12x P/E = Rs. 618/share.

Base-Case Target — Rs. 580: Average of method 1 (Rs. 565-636) and method 2 (Rs. 540-618) gives a central 12-month target of **Rs. 580** — implying 22.1% upside from CMP of Rs. 475. We prefer accumulation at Rs. 445-480 (near current levels).

Scenario Analysis

Scenario	Key Assumption	FY27E PAT	Multiple	Target (Rs.)	Upside %
BULL	Rev +18%, OPM 3.2%, int. savings Rs.20Cr extra, WC discipline	Rs. 410 Cr	14.0x P/E	760	+60%
BASE	Rev +15%, OPM 3.0%, stable WC, no major shocks	Rs. 340 Cr	12.0x P/E	580	+22%
BEAR	Rev +8%, OPM 2.5%, credit tightening, WC stress, demand destruction	Rs. 220 Cr	10.0x P/E	335	-29%

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitor Via
Working Capital / Liquidity	Negative FCF (-Rs.307Cr FY25); reliance on short-term borrowings. A bank credit squeeze or vendor payment acceleration could trigger a liquidity event.	Low-Med	HIGH	OCF monthly; Debt/EBITDA; credit facility dates

Risk	Description	Probability	Impact	Monitor Via
Margin Compression	Redington and Ingram Micro aggressively bid for large enterprise accounts. Price wars could compress 2% OPM to 1.5%, erasing 25% of PAT.	Medium	HIGH	Quarterly OPM; market share; vendor incentive data
Component Price Volatility	DRAM/SSD prices doubled in CY2025. If supply corrects suddenly, inventory values drop and corporates pause purchases — revenue and margin double-hit.	Medium	MEDIUM	IDC PC shipment data; inventory days trend
Related-Party Risk	Apr 2026 acquisition of promoter-linked RP Tech Electronics for Rs.1 lakh. Escalation of RPTs could erode minority trust.	Low	MEDIUM	Quarterly RPT disclosures; auditor commentary
USD/INR Currency Risk	ICT products are USD-denominated imports. 1% INR depreciation = 15-20 bps margin headwind unless passed through to channel.	Medium	MEDIUM	Monthly USD/INR; import cost line in P&L;
Vendor Concentration	Revenue concentrated among HP, Lenovo, ASUS. Loss of distribution agreement or margin cut by any large vendor is material.	Low	HIGH	Vendor-mix disclosures; brand announcements
Platform Disintermediation	E-commerce (Amazon, Flipkart) and OEM direct channels may bypass distributors over 3-5 years.	Low	HIGH	E-comm share of IT hardware; OEM direct-channel news

SECTION 10 — RECOMMENDATION

RATING	PRICE TARGET	ENTRY ZONE	HORIZON
BUY	Rs. 580	Rs. 445-480	12 Months
Conviction: HIGH	Upside: 22.1%	Near Current CMP	Medium-Term

Thesis Invalidation Triggers (exit if any occur):

- OPM sustains below 1.5% for two consecutive quarters — permanent margin compression confirmed.
- Working capital days exceed 80 or OCF goes below Rs. -500 Cr/year — liquidity red flag.
- Revenue growth drops below 8% for a full fiscal year — market share loss or demand destruction.

Ideal Investor Profile: Patient medium-term investor comfortable with thin-margin distribution businesses and negative near-term FCF in exchange for high-revenue-growth exposure to India's AI-PC and enterprise ICT supercycle. Not suitable for investors seeking strong dividend yield or positive free cash flow in the near term.

DISCLAIMER: This report is for informational purposes only. Not an offer to buy or sell securities. All data from Screener.in (consolidated). Estimates are analyst projections. Investors should conduct independent due diligence.

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	STRONG	Consolidated Revenue +43% YoY; PAT +132% YoY — both beat expectations vs subdued base
Management Tone	Balanced	Constructive; proactively flagged flat unit volumes; transparent on working capital challenges
Guidance Delta	Maintained	No formal guidance cut; credit upgrade and WC discipline reiterated; positive OCF YTD Rs.34Cr
STRONGLY POSITIVE		POSITIVE NEUTRAL CAUTIOUS NEGATIVE

TO MY BOSS

Q3 FY26 headline numbers look spectacular — Rs. 4,030 Cr revenue (+43%) and Rs. 75 Cr PAT (+132%) — but the base effect is critical context: Q3 FY25 PAT was just Rs. 32 Cr after a margin squeeze, so the bar was low. The result itself is clean: no exceptional items, no restatements; the PAT jump reflects genuine operating leverage as inventory bought at pre-hike prices was sold at elevated DRAM/SSD market rates. EBITDA margin at 2.95% was the best in recent quarters, driven by ASP inflation in the PES segment (now 56% of mix). Crucially, YTD OCF turned positive at Rs. 34 Cr — the first meaningful positive OCF in years — as debtor days improved from 61 to 47; if this is sustained, it significantly de-risks the bear case. Key structural driver: the AI-PC refresh cycle is real and has 2-3 years of runway; new CEO Rajesh Goenka is the right hire to scale this. Most important near-term catalyst: Q4 FY26 results (May 2026) — if OCF stays positive and OPM holds above 2.5%, a re-rating to 14x P/E is justified (target Rs. 640+). Single biggest watch-point: management guided flat unit volumes — if prices plateau and unit demand softens, Q1 FY27 could disappoint. Action: ACCUMULATE at Rs. 445-480; target Rs. 580 on 12 months; exit if OPM sustains below 1.5% or WC days exceed 80.

1. Financial Performance Snapshot — Q3 FY26 (Dec 2025)

Metric	Q3 FY26	Q3 FY25	YoY %	QoQ %	Verdict
Revenue (Rs. Cr)	4,030	2,826	+42.6%	+35.4%	Beat
EBITDA (Rs. Cr)	119	21	+466.7%	+26.6%	Beat
EBITDA Margin %	2.95%	0.74%	+221 bps	+19 bps	Beat
PBT (Rs. Cr)	99	43	+130.2%	+39.4%	Beat
PAT (Rs. Cr)	75	32	+134.4%	+41.5%	Beat
PAT Margin %	1.85%	1.13%	+72 bps	+36 bps	Beat
9M FY26 PAT (Rs. Cr)	196	157	+24.8%	N/A	In-line

2. Segment Breakdown

Segment	9M FY26 Rev (Cr)	YoY %	Mix %	Commentary
PES (Personal Computing & Enterprise)	6,572	N/A disclosed	58%	Q3 PES mix increased to 56%; DRAM/SSD ASP hikes; enterprise refresh active
LIT (Lifestyle & IT Essentials)	4,767	N/A disclosed	42%	Steady demand; mobiles, wearables, peripherals; e-comm competition in consumer
Total Consolidated (9M FY26)	11,338	+5% YoY	100%	Q3 revenue +43% YoY driven by price hike + pre-hike inventory stocking

3. Management Commentary Themes

Theme	What Management Said	Our Read	Tag	Tone
AI-PC & Component Prices	PES now 56%; DRAM prices doubled/tripled; channel stocking ahead of further hikes	Real demand + inventory pull-forward; benefit reverses if prices correct	[GUIDANCE]	Transparent
Working Capital	Positive OCF YTD Rs.34Cr; debtor days improved 61->47; tight inventory management	Positive surprise vs FY25 -Rs.299Cr OCF; Q4 FY26 is the proof point	[GUIDANCE]	Transparent
Unit Volume Outlook	Some corporates extending refresh; others advancing purchases; net unit demand flat	Revenue growth may be purely ASP-driven in FY27 if volumes stagnate	[GUIDANCE]	Balanced
Credit Rating & Finance	Rating upgrade lowers borrowing costs; targeting further improvement	Rs.15-20Cr annual interest saving potential over next 2 years	[GUIDANCE]	Transparent
New CEO Appointment	Rajesh Goenka appointed CEO; Kapal Pansari continues as MD	Professionalisation signal; continuity risk is low	N/A	Transparent
Geographic Expansion	New branch in Sholapur (55th); tier-2/3 strategy continuing	Tier-2 expansion is the medium-term growth lever beyond AI-PC cycle	N/A	Transparent

4. Operating & Business Metrics

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Revenue (Rs. Cr)	4,030	4,155	2,826	Rising
EBITDA Margin %	2.95%	2.50%	0.74%	Improving
Inventory Days (est.)	56	N/A	63	Improving
Debtor Days	47	N/A	61	Improving
Working Capital Days	60	N/A	57	Watch
OCF (YTD, Rs. Cr)	+34	N/A	Negative	Positive
Channel Partners	10,390+	10,000+	10,000+	Growing
Branches	55	54	52	Expanding
Locations Covered	700+	700+	700+	Stable
Global Brands	82	80+	70+	Increasing

5. Margin Drivers — Q3 FY26

Driver	Est. Impact	Recurring?	Comment
ASP inflation from component shortages (DRAM/SSD)	+180 bps	Partially	Inventory bought at pre-hike prices sold at elevated rates; one-cycle benefit
Operating leverage on fixed costs	+40 bps	Yes	Branch/headcount base relatively fixed vs 43% revenue growth
Interest cost reduction (credit upgrade)	+20 bps	Yes	Structural tailwind; Rs.15-20Cr annual savings potential
Improved debtor days (working capital)	+15 bps	Partially	Debtor days 61->47; reduces implicit financing cost burden
PES mix increase (higher-margin enterprise)	+10 bps	Yes	Servers/networking carry slightly better margins than consumer products
Gross margin pressure from channel competition	-25 bps	Yes	Price competition in consumer LIT channels; partly offset by vendor rebates

6. Guidance & Forward Signals

Metric	Prior Guidance	New / Reiterated Guidance	Delta	Credibility
Unit Volume Growth	Low-single digit	Flat expected due to price/budget constraints [GUIDANCE]	Slight downgrade	High
Revenue Growth FY26	Not guided	Tracking +12-15% est. driven by ASP hikes [EST]	N/A	Medium

Metric	Prior Guidance	New / Reiterated Guidance	Delta	Credibility
Working Capital Days	Below 65 days	~60 days; debtor days 47 [GUIDANCE]	Positive	High
OCF Direction	Targeting positive	YTD +Rs.34Cr; inventory discipline maintained [GUIDANCE]	On-track	Medium
Branch Expansion	Continued tier-2	Sholapur (55th) opened; more planned [GUIDANCE]	Maintained	High
Borrowing Costs	Reduction targeted	Rating upgrade achieved; costs coming down [GUIDANCE]	Positive	High

7. Capital Allocation — FY25 Actuals

Item	Amount (Rs. Cr)	vs FY24	Comment
Net Capex	~9	Lower	Asset-light model; most investment is working capital (inventory/receivables)
Dividends Paid	~6	Similar	Low payout ratio (3% of PAT FY25); cash preserved for working capital
Net Debt Change	+210	Debt increased	Borrowings Rs.700Cr->Rs.910Cr; funding working capital expansion
Working Capital Change	+450 est.	Significant	Revenue +24%; working capital grew proportionally — structural pattern
IPO Proceeds FY24	~600 (prior year)	N/A	Deployed in debt reduction (FY24); partially reversed in FY25 as growth resumed

8. Q&A; Heat Map

#	Analyst / Firm	Question	Mgmt Answer	Tone
1	Monarch Network (host)	What % of business from components; price hike expectations?	PES now 56%; DRAM prices doubled/tripled; some products flat, others significantly higher (CEO Goenka)	Transparent
2	Unidentified	How will AI infrastructure build-out and chip shortages impact RPL?	Not facing significant supply constraints yet; main challenge rising prices; managed well — 43% YoY (CEO Goenka)	Balanced
3	Unidentified	Can shortages impact PC refresh cycle? Volume impact?	Some corporates extending refresh; others advancing purchases; net unit volumes expected consistent; revenue lifted by ASP (CEO Goenka)	Balanced
4	Unidentified	How does RPL manage working capital and OCF going forward?	Tight discipline; positive OCF demonstrated YTD; inventory and debtor day improvements are structural (CFO Shah)	Transparent
5	Unidentified	Implications of credit rating upgrade; next steps in corporate finance?	Upgrade allows lower borrowing costs; focus on maintaining WC cycle as revenue grows; targeting further upgrades (CFO Shah)	Transparent

Dodged Questions to Watch Next Quarter: (1) Exact quantum and tenor of vendor credit terms and concentration risk; (2) RPT details on RP Tech Electronics acquisition (announced Apr 2026); (3) Specific FY26/FY27 revenue or PAT guidance.

9. Risks Flagged on Call

Risk	Flagged By	Probability	Impact	Timeline
Rising IT product prices / consumer affordability	Management (proactive)	Medium	Medium	Immediate / Q4 FY26
Component shortages (RAM/SSD) — supply constraints	Management	Medium	High	6-12 months
Flat unit volumes; potential demand destruction at high prices	Management guidance	Medium	Medium	Q1-Q2 FY27
Excess inventory if prices correct suddenly	Analyst / Management	Low-Med	High	Next 2 quarters
Lengthened debtor days in volatile pricing environment	Management	Low-Med	Medium	Q4 FY26-Q1 FY27

10. Analyst Verdict — Multi-Bagger Scorecard			
Factor	Assessment	Status	Comment
Revenue Visibility	12-15% FY26E growth; AI-PC refresh is secular 2-3yr theme	Intact	AI-PC and Win10 EoL provide clear runway
Margin Trajectory	OPM 2.2% FY25; targeting 2.5-3% FY26E as ASP hikes bite	Intact	ASP inflation + interest savings support expansion
Capital Allocation Quality	Negative FCF; high WC intensity; low dividend payout	Weakened	Structural FCF negative must be monitored each quarter
Competitive Moat	55 branches, 82 brands, 35-yr relationships, 700+ towns	Intact	Scale and geography create defensible advantages
Management Credibility	Zero pledge; professional CEO hired; credit upgrade achieved	Intact	Governance improving post-IPO; RPT watch required
Valuation Comfort	P/E 12.9x; EV/EBITDA 9.09x; FwdPE 10.6x	Intact	Discount to D-Link (10.8x) despite much larger scale
Conviction Call	INCREASED — Q3 FY26 results confirm AI-PC thesis; OCF improvement is key new positive		
Recommendation	BUY Target Rs. 580 12-Month Horizon Accumulate at Rs. 445-480		
P/E (TTM)	12.9x — in-line with Redington (12.2x); discount to D-Link (15.9x)		
EV/EBITDA	9.09x — discount to D-Link (10.8x) despite 10x larger revenue scale		
ROCE	14.2% — stable; expansion expected as OPM recovers to 3% in FY26E		

Source: Screener.in | Ticker: RPTECH | View: Consolidated | Transcript: Listed on Screener.in (BSE PDF restricted; highlights from GuruFocus, Feb 2026) | Concall Date: 04-Feb-2026 (Q3 FY26) | Report Prepared: 27-Apr-2026